

LNG Shipping - Quarterly Report Q2 2024

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Summary

Q2 has seen the flattest spot charter rates in several years, with limited movement until the very end of the quarter. Despite long distances as a result of essentially no use of either of the canals, the availability lists have stayed long. The recent open arbitrage between East and West has further contributed to longer distances, and a significant drainage of tonnage in the West with a surge in vessels available in the East. As a result, the spot market has disconnected between the basins, and while Atlantic rates are on an upward trend, the East is lagging behind with plenty of ships to choose from.

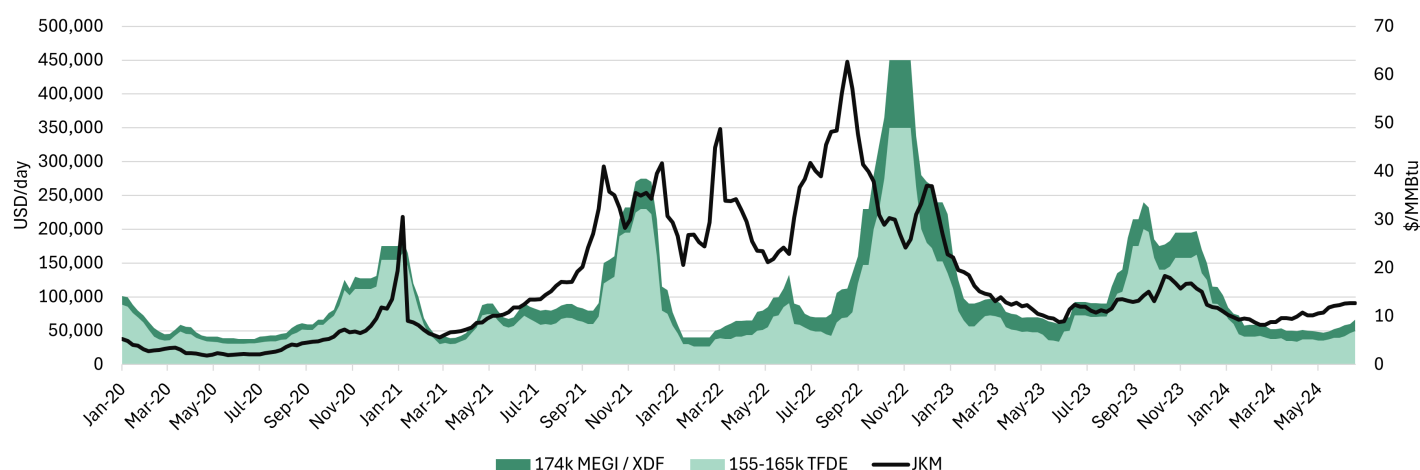
There have been both planned maintenance and unplanned outages, and production levels have thus remained a little below full capacity. There has been no commissioning of new liquefaction projects, except one cargo from Congo LNG. With 12 newbuild deliveries, there has been plenty of shipping capacity to support the long distances. Gas prices have climbed steadily upwards throughout the quarter, from single digit pricing at the start of the quarter, to JKM being in the 12-13 \$/mmBtu range over the last few weeks.

27 newbuild orders have been placed in Q2, dominated by phase 2 of ordering for the Qatar expansion projects.

Finally, there have been some positive news on liquefaction project FIDs, with Ruwais LNG reaching FID end of June, adding 9.6 MT of capacity from 2027. Additionally, the 3.3 MTPA Cedar FLNG reached FID, and the FLNG for Genting's 1.2 MTPA FLNG has officially started construction at Wison New Energies. All eyes remain on the US pause in approving projects, and how the process will change as a result of the pause.

On the topic of geopolitics, a new raft of sanctions against Russia have been adopted by the EU. This package prohibits the reload and ship-to-ship transfer of Russian LNG in European terminals. This will largely affect volumes from Yamal, which are loaded on to non-Ice Class ships mostly in Zeebrugge, Fluxys and Montoir. No sanctions have been adopted on European imports of Russian LNG, as long the import terminal is connected to the European grid.

Spot charter rates and JKM



Charter Rates

Q2 spot charter rates were on average the lowest seen since 2020. Rates have remained at a relatively flat floor for the majority of the quarter, but some small jumps have been seen in the Atlantic towards the end of the quarter, while remaining flat in the East. This is a result of an open arbitrage for USG cargoes to head East, which has led to an abundance of available ships in the Pacific, while some struggle to find a ship in the Atlantic. With EU storage levels around the same as this time last year, and with muted industrial demand, LNG demand has been subdued, although recent heat waves in Asia have drawn volume East. Current EU storage levels are at almost 80% full, well on track to reach the target of 90% by November. The current difference in spot charter rates in East and West is about 30k \$/day. Prompt

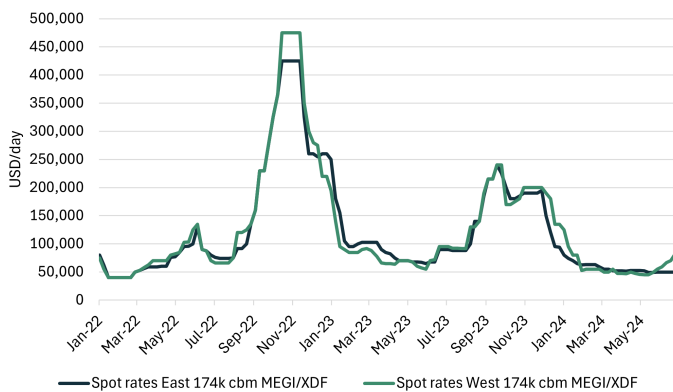
availability has dwindled significantly from the highs seen at the start of the quarter, and close to all prompt availability is found in the Pacific. Egypt's recent tender for around 20 cargoes was also feared to demand a lot of chartering in, but for now seems to have been awarded largely to traders with existing large fleets.

Multi-month to 1-year periods have firmed up throughout the quarter, as players seek to cover winter demand. However, with nearly 50 newbuild deliveries for the remainder of the year, and likely just a few commissioning cargoes added to the global LNG supply, some also believe there should be plenty of vessels to choose from going into winter.

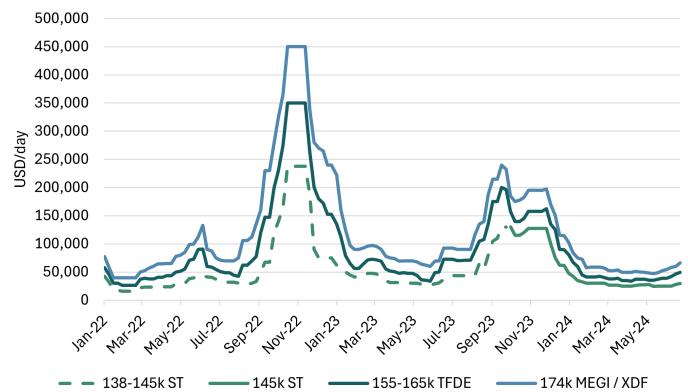
Long-term charter rates have continued their descent, as the market prices in the anticipated softer market in the next couple of years and that the large orderbook is delivering well in advance of the liquefaction project start-ups. Longer term charters are still priced at a premium to shorter term, as market tightening is expected in the second half of the decade.

With a slow-down in both the newbuild price and interest rate hikes, the 10-year rate for a newbuild has remained relatively flat throughout the quarter, although liquidity in this sector of the market is low and very few deals of this length have been recorded.

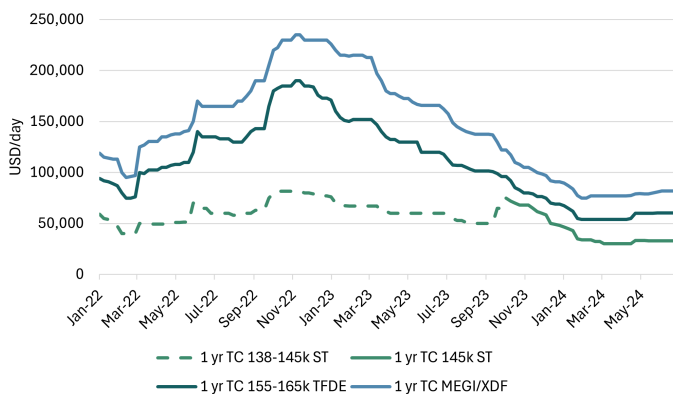
Two-stroke spot charter rates (East/West)



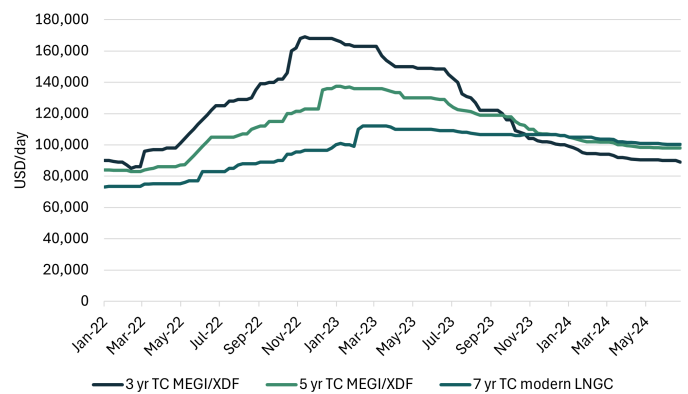
Average spot charter rates



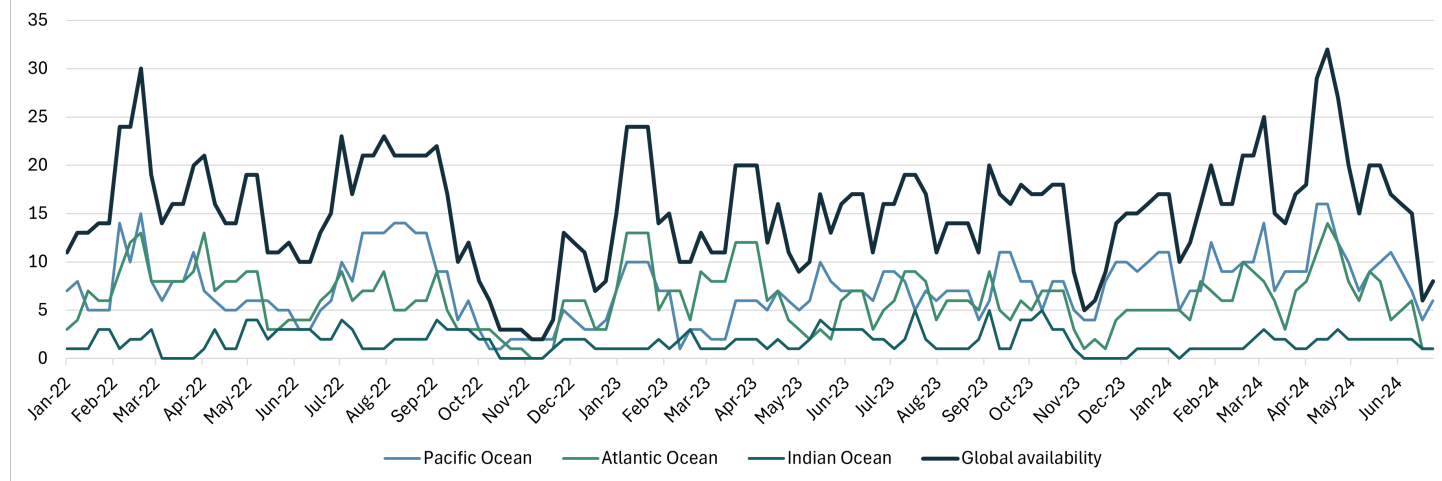
1-year charter rates



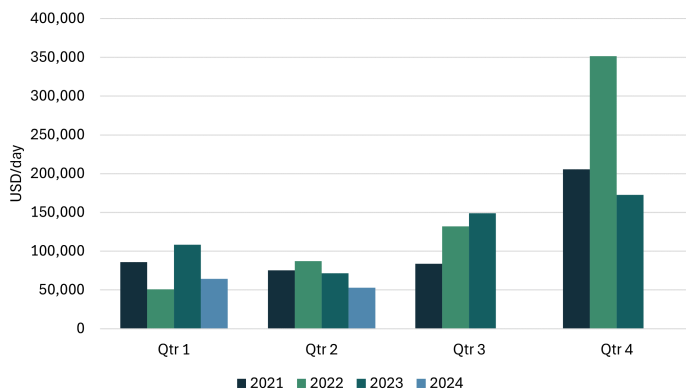
Term charter rates (two-stroke)



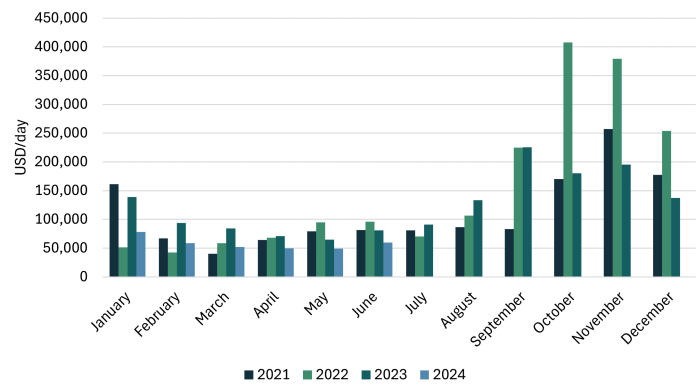
Prompt LNGC availability



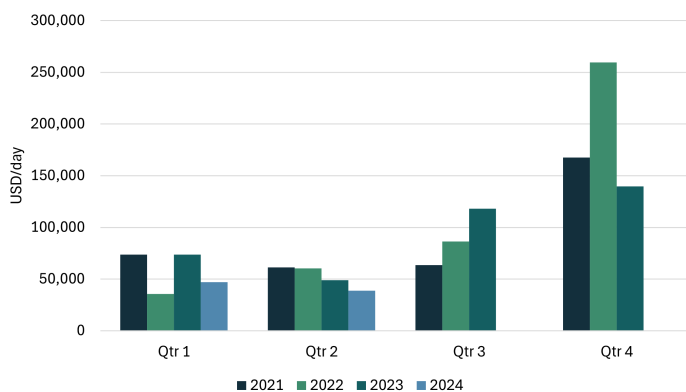
Quarterly spot charter rates (two-stroke)



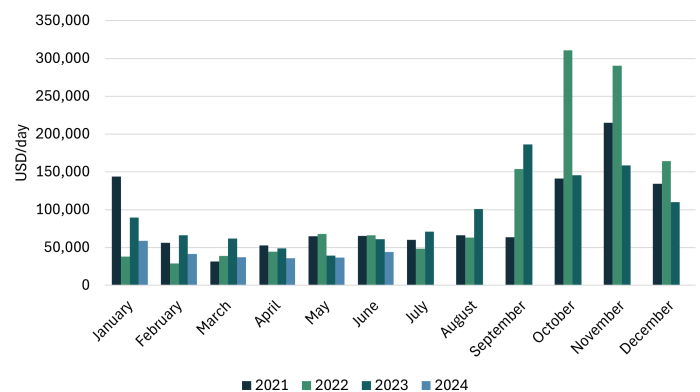
Monthly spot charter rates (two-stroke)



Quarterly spot charter rates (TFDE)



Monthly spot charter rates (TFDE)



Chartering Activity

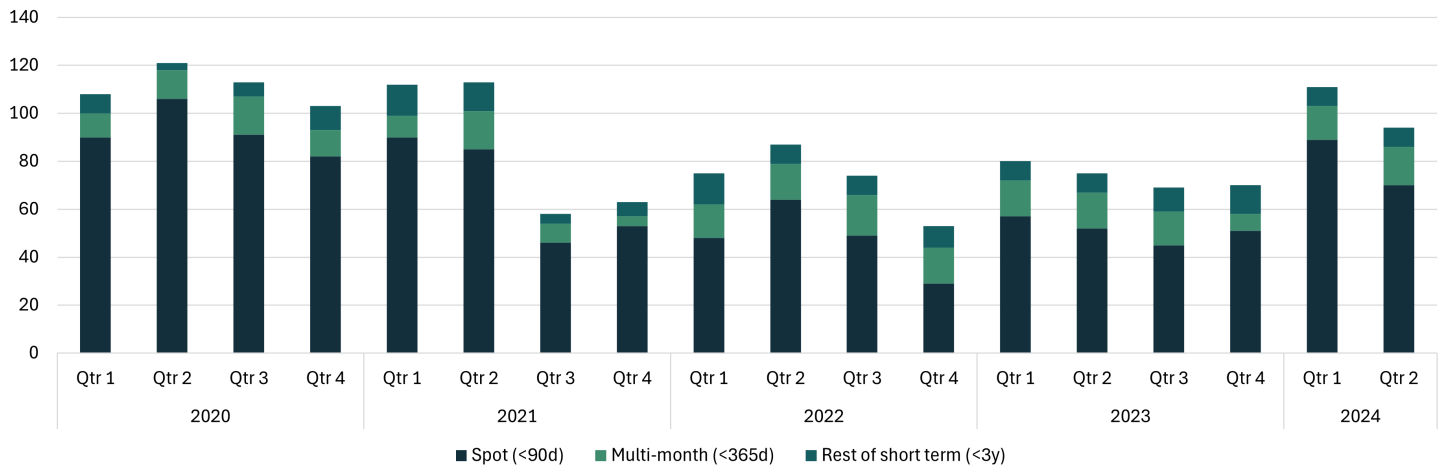
Although charter rates have not caused much excitement, the first half of the year has been far from boring, with more than 170 spot fixtures concluded or on subjects. In 2023, we recorded a total number of spot fixtures of just over 200, so this year has seen significantly more activity. 2024 so far is well above the fixing activity at the same stage in 2022 and 2023, and in line with 2021 fixing levels. Multi-month fixtures in H1 are recorded at just above 30; the highest levels seen in years. 78% of short-term fixtures (< 3 years) so far this year have been sublets, a slight decrease 85% in Q1.

Comparing with Q2 previous years, multi-month and the rest of short-term (up to 3 years) fixture counts are close to the last two years' levels. The spot activity count is up compared to Q2 in 2022 and 2023 but the number of fixed days are a little behind, indicating shorter charter periods.

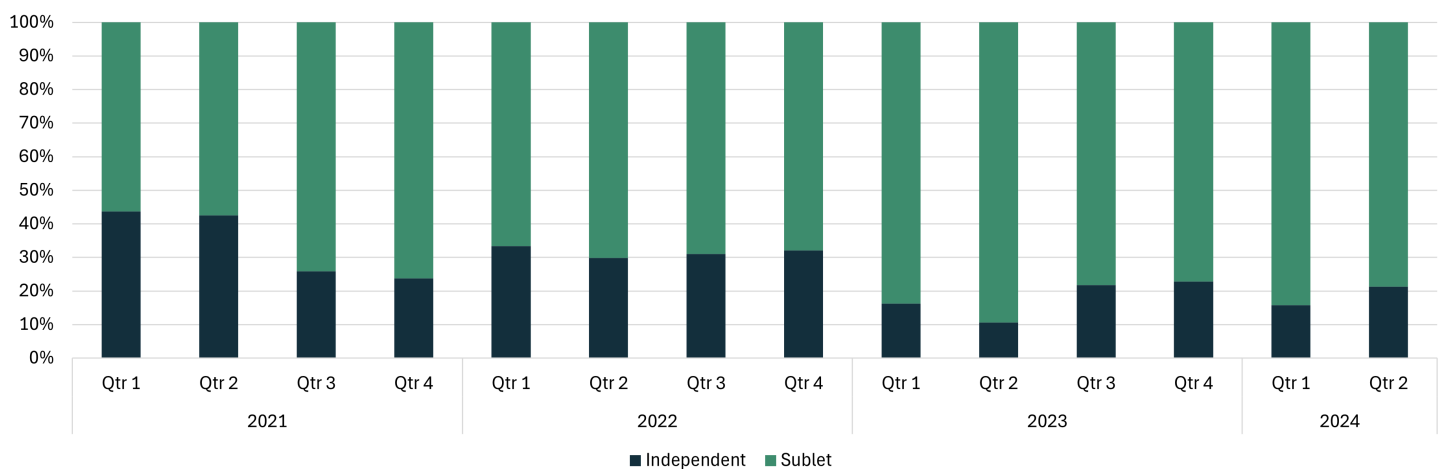
The number of 1-year deals stands at 7 for Q2; about the same as in Q2 last year. Only one of these deals was for a 2-stroke vessel (14%), whereas in Q1 four out of five 1-year deals were for 2-strokes. All the 1-year deals done so far this year (12, which is the same as in H1 last year), have been sublets. There have not been any 3-5 year deals so far this year.

Note that the graphs below do not include deals still on subjects, and total numbers are likely to increase slightly.

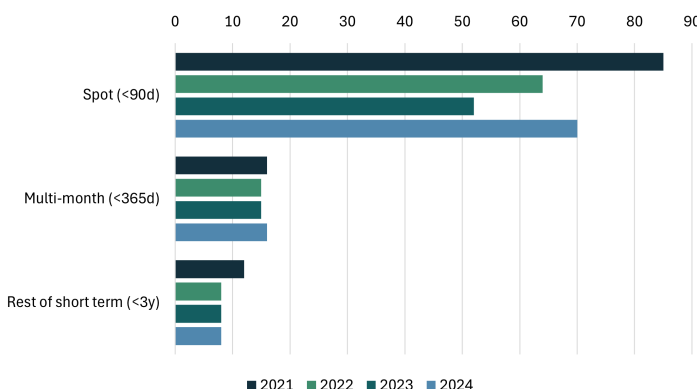
Short-term fixture activity (< 3 years)



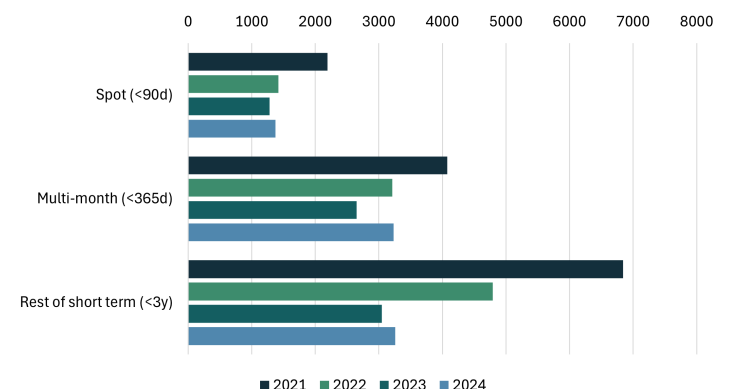
Short term fixtures by sublet vs independent owners



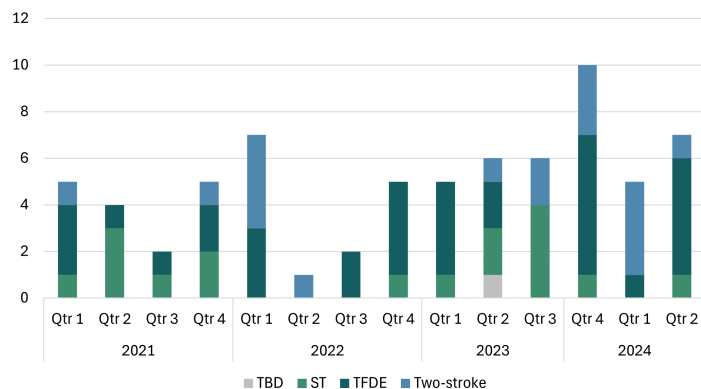
Short-term fixtures Q2 (count)



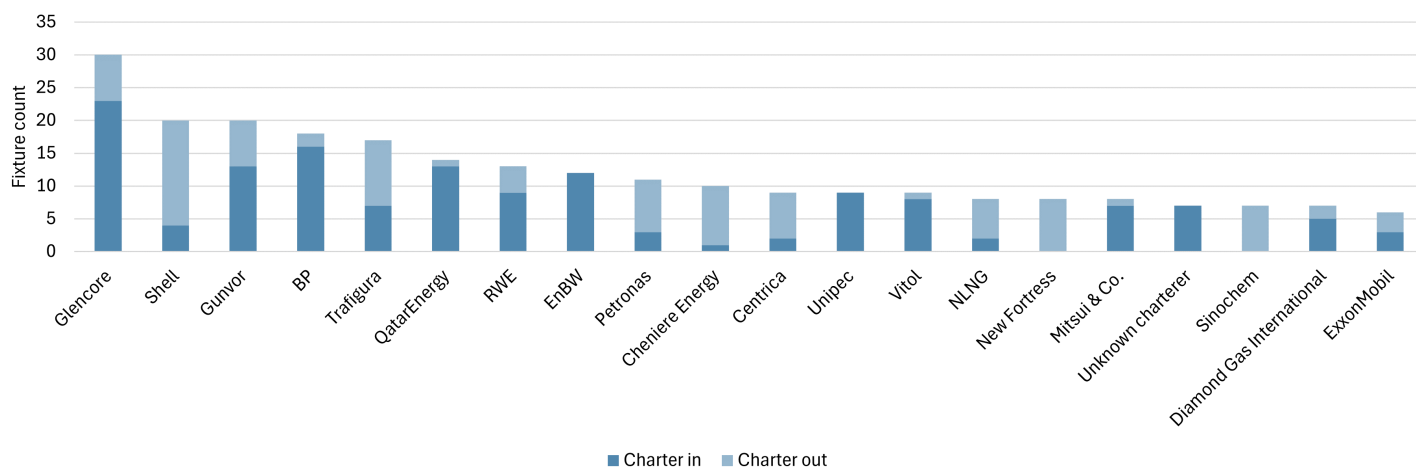
Short-term fixtures Q2 (fixed days)



1-year term deals



Top companies 1H 2024 (< 3 years)



Trade Flows

98 MT of LNG was loaded in Q2, which is slightly lower than the two previous years. The quarter has been characterized by both planned maintenance and unplanned outages, which have kept traded levels a little low. The United States remains the top exporter, and 21% of LNG loaded in Q2 came from there, closely followed by Australia (19.5%) and Qatar (18.8%). The top three importers are unchanged, with China importing 18 MT; more than 3 MT more than Japan and 8 MT more than South Korea.

LNGC transits via the Suez Canal remain at a minimum; two voyages to reach Aqaba in Jordan, so not crossing the Bab el Mandeb strait, as well as one steamer, Asya Energy, which did a full Red Sea transit in June. Panama Canal use is also limited, and less than 3% of voyages from the United States to Asia utilized the Panama Canal in Q2. Therefore, voyages are long, and while traded LNG levels are lower than previous years, the long distances have pushed tonne-miles to historical highs. Naturally, this has increased the fleet utilization from last years' levels, but the extensive and early fleet additions have ensured that there is more than enough tonnage to handle the tonne-miles. Fleet utilization, calculated as actual tonne-miles performed divided by a theoretical tonne-mile capacity, is lower so far this year than it was in 2021, when increased US-to-Asia voyages stretched the fleet and caused high speeds and much quicker tonne-mile growth than fleet growth. As speeds have been slightly higher than last year's very low levels, tonne-time growth has been much lower than tonne-miles.

In Q2, 50% of US LNG went to Europe, down from 68% in Q1. This has in turn resulted in a 10% increase in US-to-Asia trade, as well as to the Caribbean and South America. In Q2, 16% of Qatar LNG went to Europe, lower than the 23% in Q2 last year, but up versus the 12% seen in Q1 this year. All voyages from Qatar to Europe have taken the long voyage

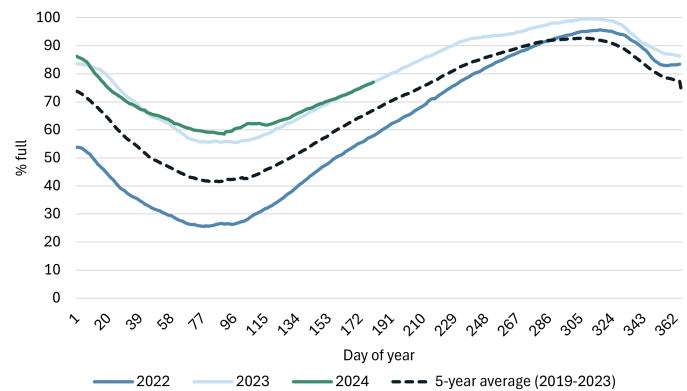
via Cape of Good Hope.

Looking at the first half of the year, Argentina, the United Kingdom and Greece have reduced imports the most in year-on-year percentage change, with reductions by 68%, 58%, and 54%. For the UK, this has meant a reduction in the number of cargoes from 149 throughout 2023, to only 63 in 1H 2024. As for increased imports, Philippines, the Virgin Islands, Vietnam, Jordan and Egypt have all imported cargoes this year, and did not import any in 2023. Looking at the largest increases in number of cargoes imported, China and India dominate at the top, with 58 and 49 more cargoes than in 1H 2023. This is a 12% and a 31% growth in imports, respectively.

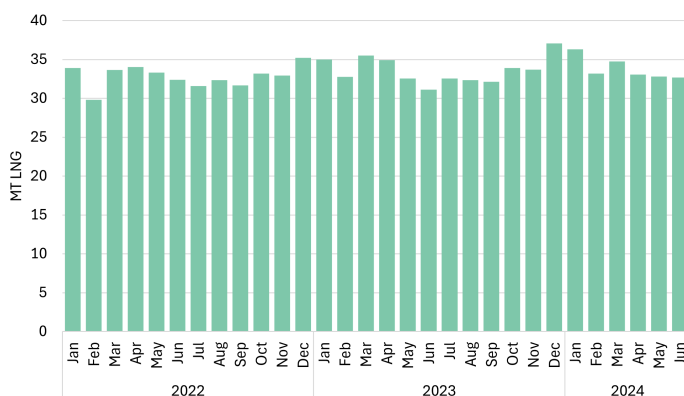
EU storage levels are high again this year, as the draw-down during winter was limited due to warm weather. Current levels of around 77% full suggest the EU is well on track for 90% full by November. Russian pipeline gas is still flowing through the Ukraine Gas Transit and Turkstream, at even higher levels than in 2023. However, the transit contract for Russian pipeline gas via the Ukraine Gas Transit expires at the end of the year, and Ukraine will not extend the contract. This means that some landlocked countries in Europe will need to secure capacity from other countries.

Source: AGSI

EU storage levels

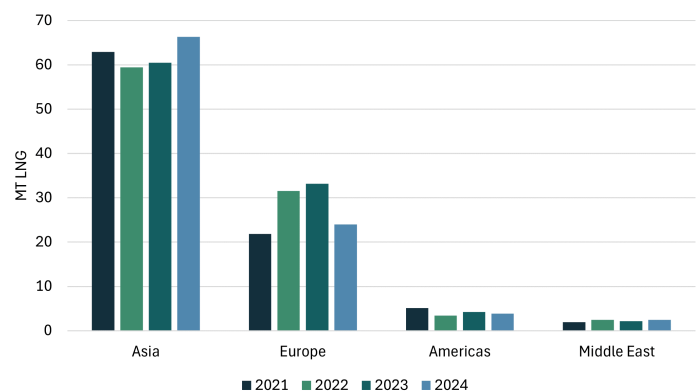


Loaded LNG

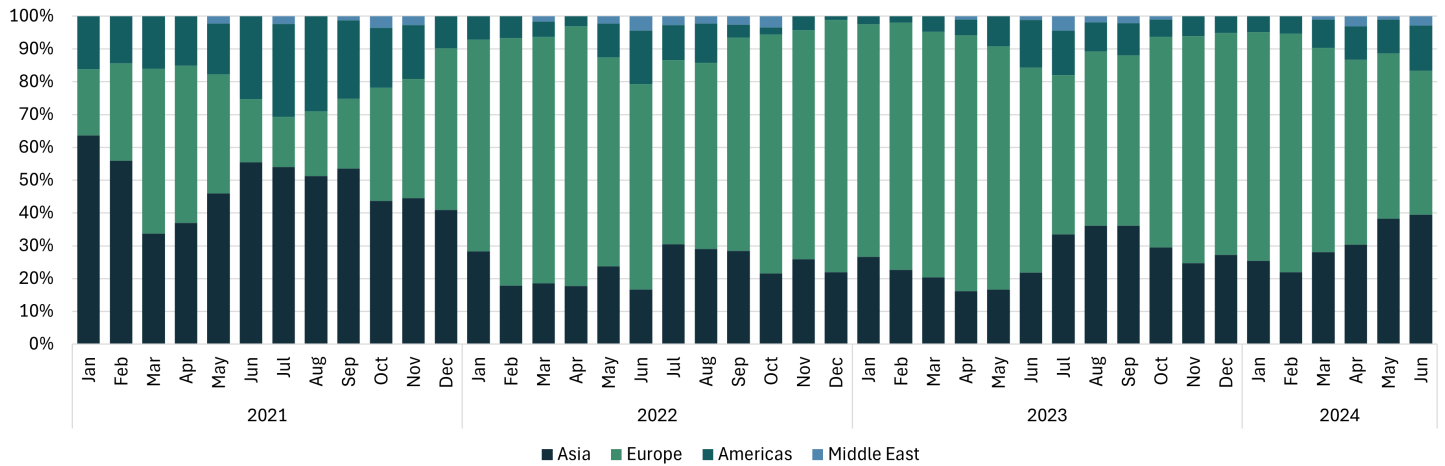


Source: Vortexa

Q2 imports by region

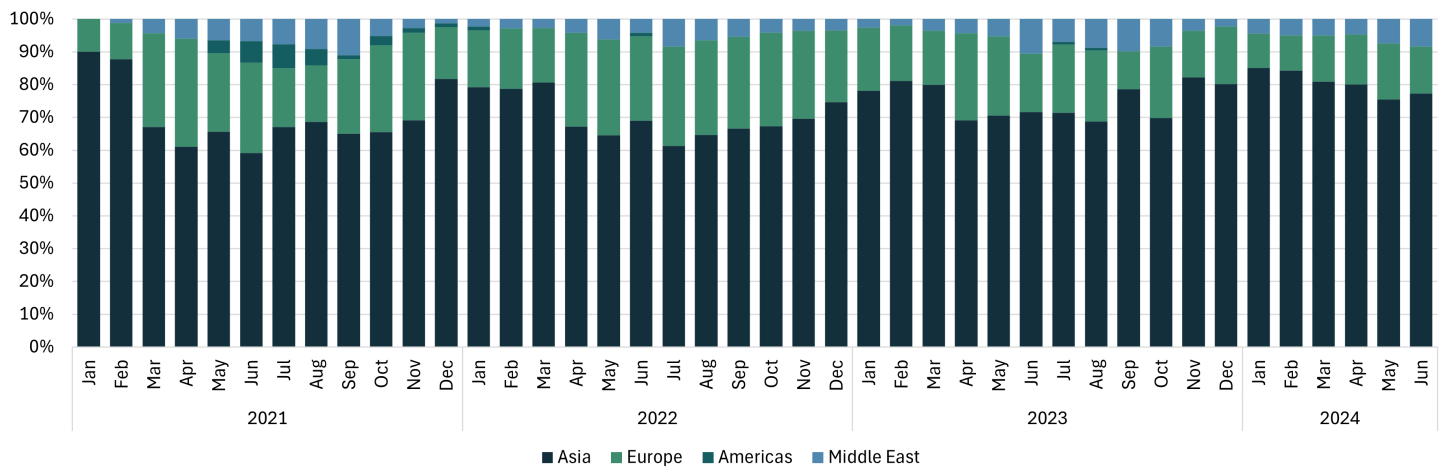


Destination of US LNG



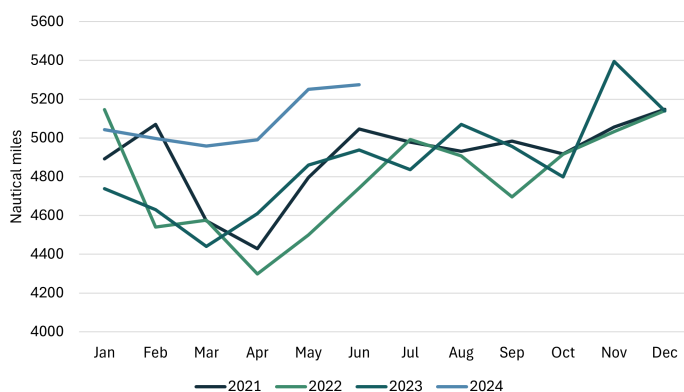
Source: Vortexa

Destination of Qatar LNG

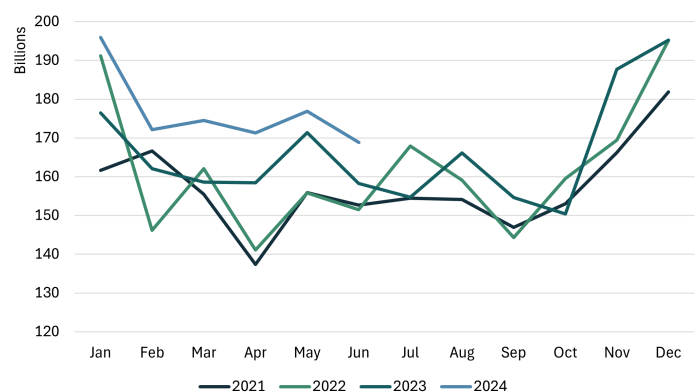


Source: Vortexa

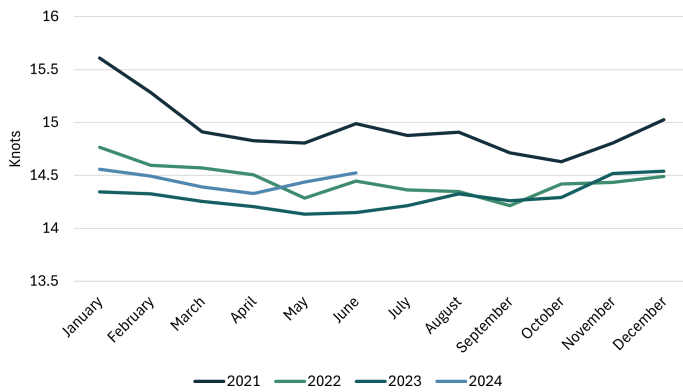
Average fleet distance (laden)



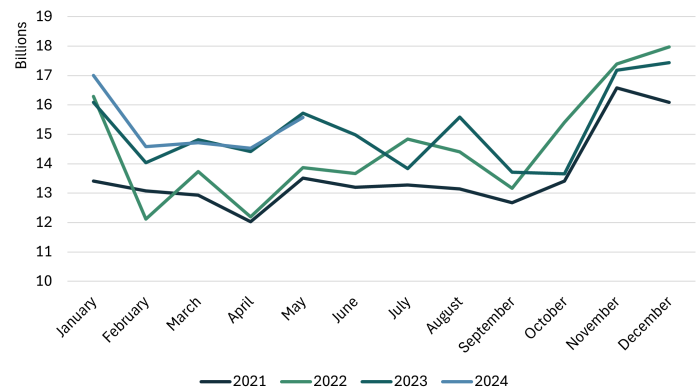
Tonne-miles



Average fleet speed



Tonne-time



Source: Vortexa

LNGC Fleet

The fleet grew by 12 ships in Q2; a total of 22 so far this year. That brings the total fleet to 650 live vessels, with seven remaining in layup. 27 orders were placed in Q2, of which almost all were for the Qatar expansion project. The orderbook currently stands at 349 vessels (including the eight ordered by ADNOC, which were technically ordered in Q3), which gives an orderbook-to-fleet ratio of almost 54%.

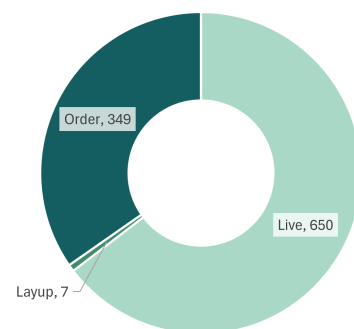
35% of the orderbook are for the Qatar Expansion, with 122 vessels, while 23 vessels remain charter-free. The orderbook now extends all the way into 2031, with the furthest deliveries being the Q-max vessels ordered at Hudong-Zhonghua. Some vessel deliveries are also being brought forward into 2024, as yards make space for the huge delivery numbers scheduled for the coming years.

Only one conventional LNGC has been sold for scrap so far this year, the 1994-built YK Sovereign (in addition, the small-scale 1996-built Surya Aki). The steamers therefore still hold a large share of the fleet, with 33% (including STRH and STaGE). However, the 2-strokes have now taken over as the major component, with 229 live vessels and a 35% share.

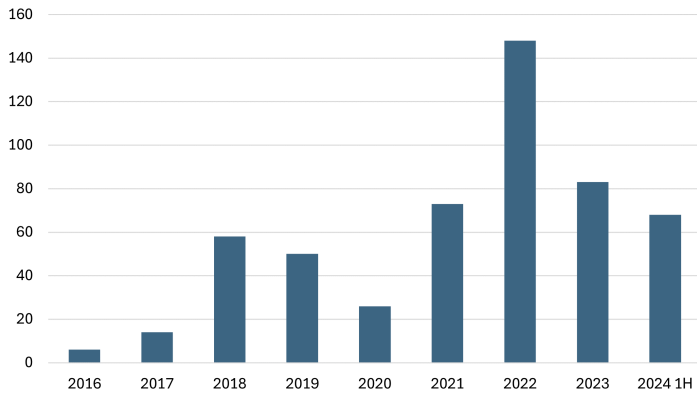
On average, the LNGC fleet is young, with more than half of the vessels less than 10 years old. However, a total of 17 vessels are older than 30 years old, and as many as 94 are older than 20. 150 LNGCs are smaller than 140k cbm, which in today's market is an increasingly unattractive size.

Activity in the secondhand market has been high, with 15 secondhand sales registered so far this year. While some sales have been for 2-strokes (JP Morgan vessels sold to Venture Global), the majority of sales candidates are for older, redelivering steamers. The number of sales candidates is expected to continue to increase, as a wave of redelivering steamers are expected for the remainder of the year and next year.

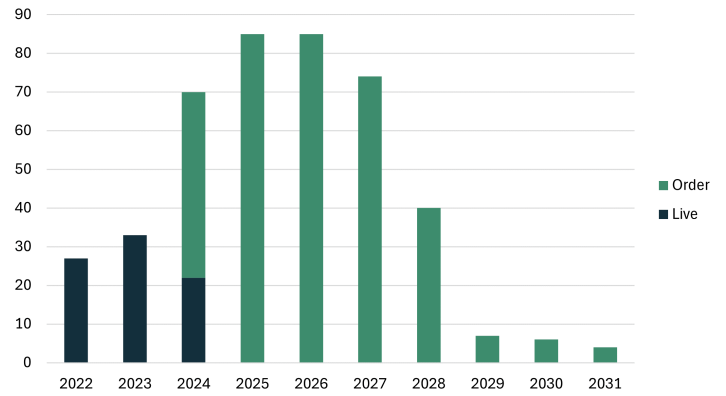
LNGC fleet by status



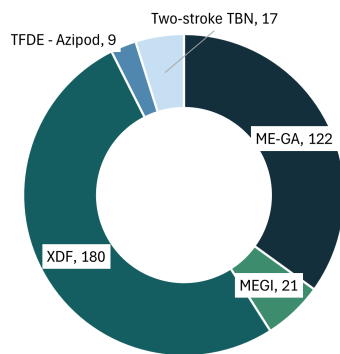
LNGC orders



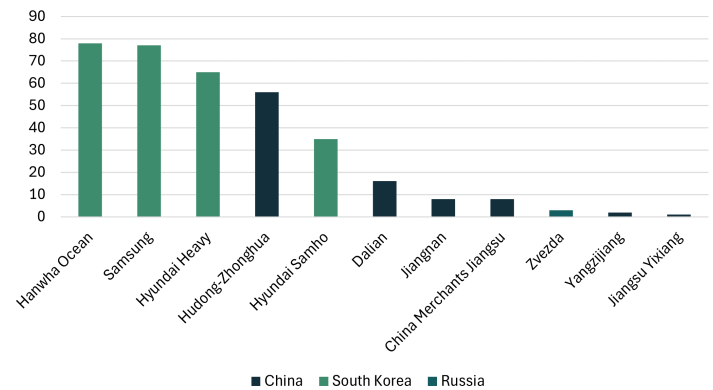
LNGC deliveries



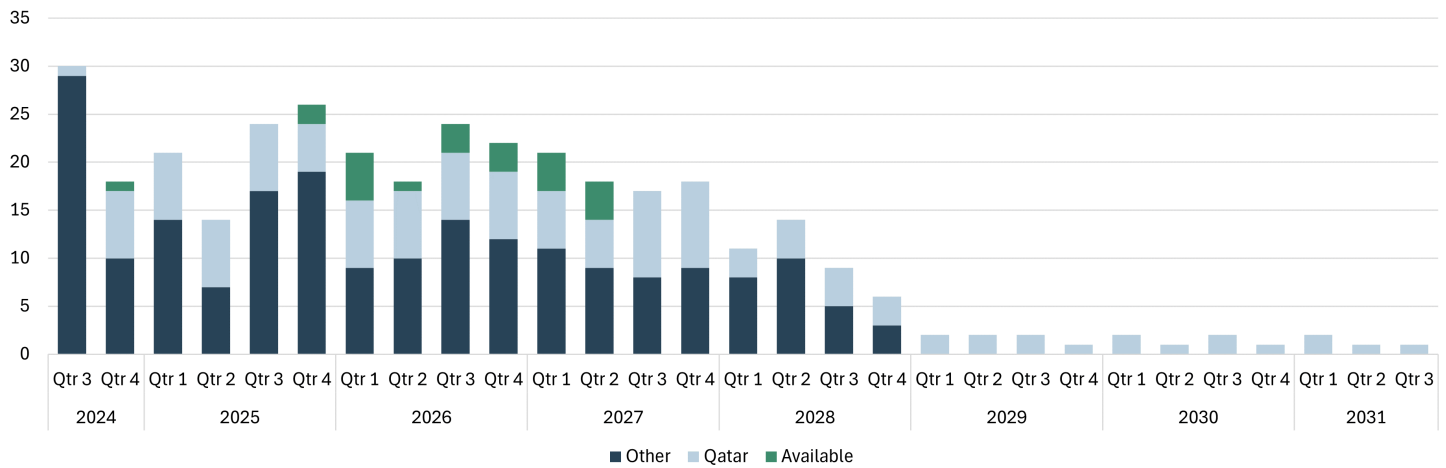
Orderbook by propulsion



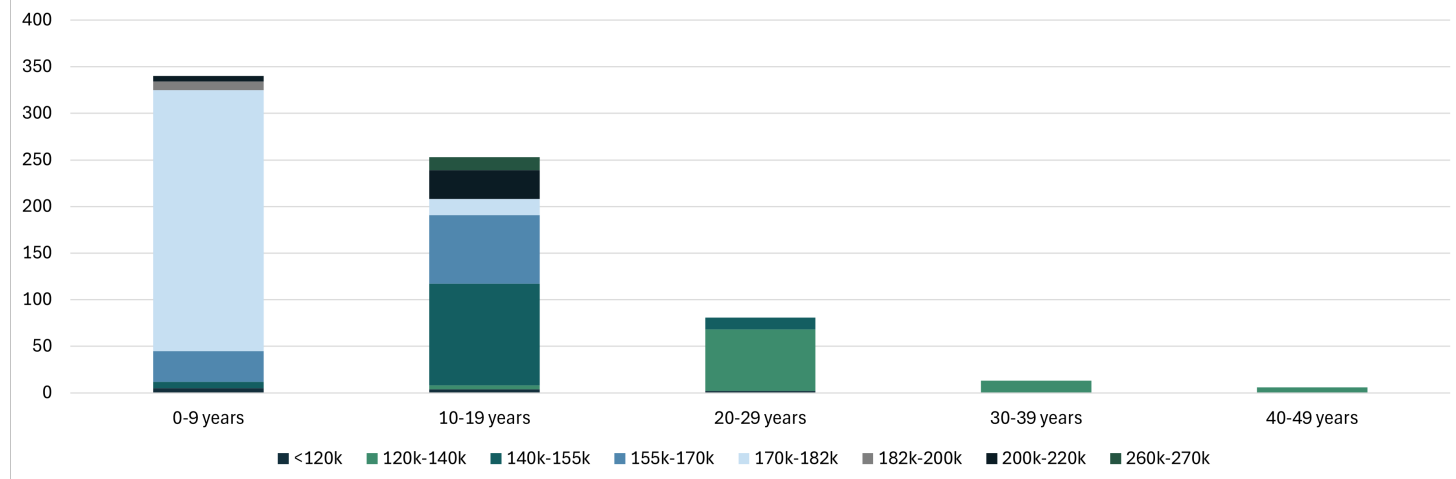
Orderbook by yard



Orderbook by category



Live fleet by size range and age

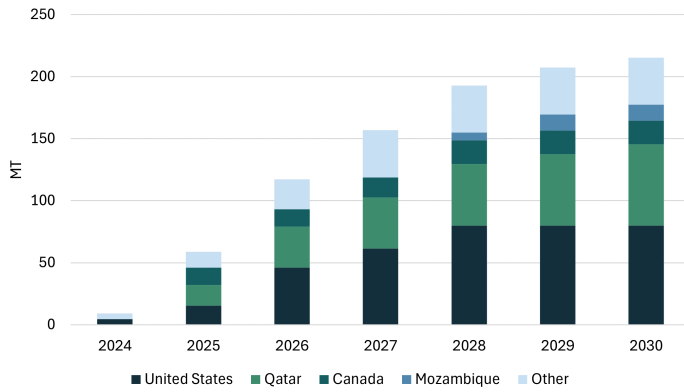


Outlook

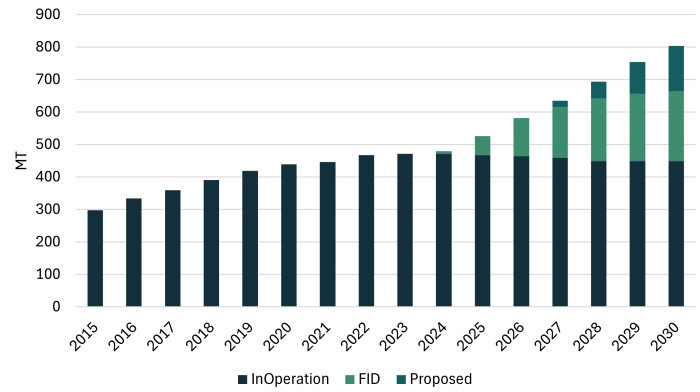
While a closed Suez and an open arbitrage has increased tonne-miles significantly, the effect on rates has been limited. This is driven by the fact that fundamentals again drive the market, and not the cargo values as has been seen previous years. There are enough ships in the fleet to do the transport work, and quick deliveries have countered the effect of higher tonne-miles. However, low production levels have compensated for longer distances to some extent, and higher production levels are expected as we approach winter. Seasonally, this happens every year as maintenance periods end, and this year some commissioning cargoes are also expected from Plaquemines, Greater Tortue and Fast LNG. Higher production levels will further increase tonne-miles, and stretch the fleet, likely resulting in the seasonal winter peak in the spot charter rates. With plenty of capacity to speed up, the fleet is, at least theoretically, capable of handling this winters' trade flows even with a sustained open arbitrage. However, cold weather, outages and geopolitical tension are all factors which can reduce the effect of the fundamentals, and increase the risk of being short shipping.

Oversupply of ships is expected in the next few years, as vessels deliver quicker and earlier than liquefaction project volumes. While tightening is expected already next year as projects come online (considering current start-up plans), a tightening does not mean tight. As can be seen on the below graph, the ships per mtpa of liquefaction are increasing significantly over 2024 and 2025. While this looks dramatic, more ships are needed per new ton of liquefaction, as long-haul US volumes come online. Focus remains on the US pause in non-FTA approvals, which largely affects liquefaction, and shipping demand, towards the end of the decade. The latest news is that a federal judge in Louisiana has ordered an end to the pause, stating that the policy is unlawful. What this means for US non-approved projects remains to be seen. Nonetheless, the pause has lasted for almost half a year, and has likely already had a delaying effect on some projects. We do however still expect more liquefaction project FIDs, both from the United States and other regions, and more LNGCs will be needed in 2028+, to cover demand from new projects and fleet replacement. However, this demand is likely well within current yard capacity.

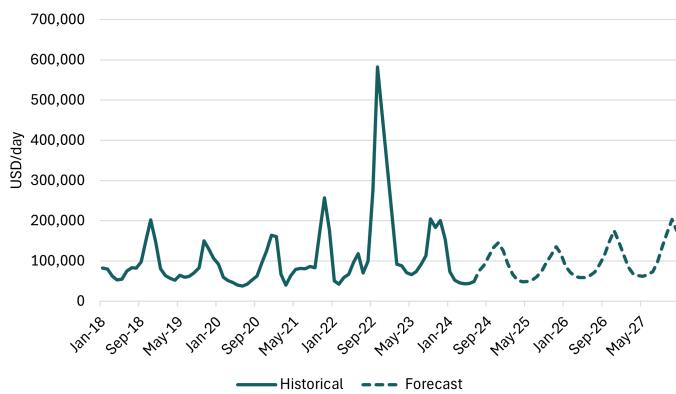
Liquefaction with FID by country



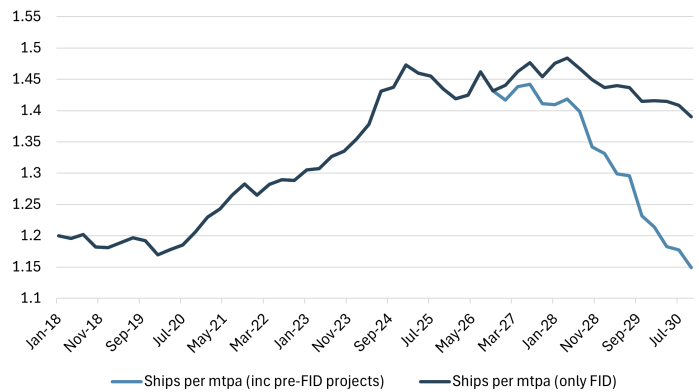
Total liquefaction



Forecast spot charter rates (two-stroke, round trip)



Ships in fleet per mtpa





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